



The Payments Landscape in India

Progress, Gaps and Opportunities

03rd of Nov, 2017: **IGIDR / PayPal Roundtable on Enabling Institutional Architecture for Payments Sector**

About

fintalk
FinTech. Deciphered.



Utkarsh Sinha



- Utkarsh earned his Bachelors in Electrical Engineering and Computer Science from the **Massachusetts Institute of Technology**.
- He went on to work in the Boston office of the **Boston Consulting Group**, consulting with a number of tech clients, working on **cloud computing strategy** for **IBM** in 2009, and on the **post-merger tech integration** of **Pfizer** with **Wyeth**. He was also seconded to the **largest US pharmacy chain**, where he worked on deploying **big data** to design more effective consumer promotions.
- He left BCG to join **Bridgewater Associates**, the largest macro hedge fund globally, where he worked on the sale of their back-office to **BNYM** and restructuring their Front Office.
- He left to work on developing an innovation ecosystem for the **Government of Bihar** at the Chief Minister's Secretariat, and launching a **Center for Good Governance**.
- Having completed his MBA from the **University of Oxford**, he worked briefly in **C5 Capital** (growth equity: big data and security), before joining **Moelis and Co.** on their tech banking team.
- He is presently back in India, consulting individually with companies in the Tech / FinTech space. He is also served as the Convener of India's largest FinTech industry body, is an advisor to PE and other investors, and has the Founder of **fintalk.org**, a FinTech industry collective.

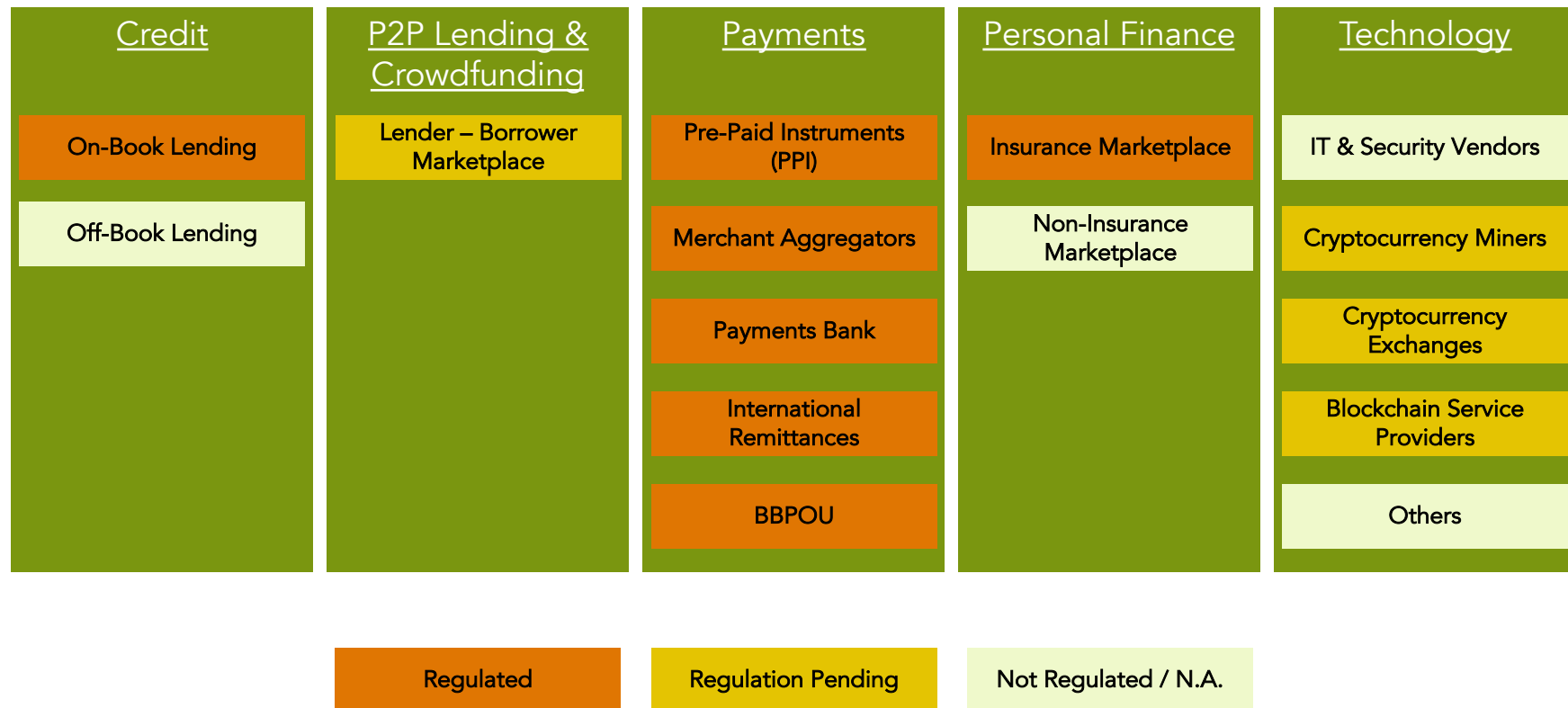
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1. The FinTech Landscape in India

Sectors and Business Models



The Payments Landscape in India: A Deeper Dive

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PRE-PAID INSTRUMENTS (PPIs)

WALLETS



CARDS



CORPORATE



MERCHANT AGGREGATORS

ONLINE PAYMENTS GATEWAY



PHYSICAL / MOBILE POS



SOFT POS



PAYMENTS BANK



INTERNATIONAL REMITTANCES



BBPOU



Categorization of Certain RBI Licenses (excl: BBPOU, PPI, others...)

	Limitations	FDI Limitations	Fit & Proper Criteria	Use of Funds / Capital Requirements	Deposit Taking
Bank	NA	49% PUC (new) 74% (old)	₹ 500 cr PUC 10 year India ops	CAR / Deposit Insurance, etc.	No limitations
NBFC	Includes: Asset Finance Co. (AFC), Loan Co. (LC), Investment Co. (IC), Infra Fin. Co. (IFC) & Systematically Imp. Core Invest Co, IDF, MFI	100% under gov. approval route, or as decreed by concerned regulator	₹ 2 cr net owned funds	Depends on type of NBFC	Depends on type of NBFC
Payments Bank	NA	74% of PuC	₹ 100 cr PuC	15% CAR	Current & Savings from non-NRIs up to ₹ 1 lac with simplified KYC/AML
Pre-Paid Instrument	<u>Banks:</u> All categories <u>NBFCs:</u> Closed, semi-closed only	No specific FDI guidelines	<u>Banks / NBFCs:</u> As per norms <u>Others:</u> ₹ 5 cr PuC	<u>Banks:</u> Net demands & liabilities <u>Non-Banks:</u> 100% Escrow	<u>Up to ₹ 20k:</u> minimum KYC; <u>20k – 1 lac:</u> Officially valid doc; <u>Over 1 lac:</u> Full KYC

2. Mission: 25 Billion Transactions

An Overview of Issues for the Payment Industry

PM's Vision of 25 Bn. Digital Transactions by 2018 is Achievable...



"Today is the era of IT (information technology) and let's move ahead on the path of digital transaction. Let us lead from the front, promote digital economy and adopt the BHIM app"

Sh. Narendra Modi, Prime Minister in his Independence Day Speech, 2017



"This will be done through UPI (unified payments interface), USSD (unstructured supplementary service data), Aadhaar Pay, IMPS (immediate payment service) and debit cards,"

Sh. Arun Jaitley, Finance Minister in his Budget Speech, 2017-18

Several Government and Regulatory Steps Already Undertaken...

- Interoperability for authorized non-bank payment systems
- Access to relevant infrastructure like USSD – TRAI Notification has accepted it
- Double taxation issues related to service tax on MDR etc., similarly charges to be collected by banks through BC and then paying back leading to both tax and cash-flow inefficiencies for BCs
- PAN requirements for PPI transactions of 50K cumulative in a year to be made in parity with most retail payment limits of quoting PAN for single transaction more than 50 K
- Incentives for all digital payment transactions accepted by merchants as well as consumers an penalizing of cash transactions. Additional taxes or levies collected on cash transactions can be used to incentivize the behavior of digital transactions of consumers as well as merchants.
- Import duty relaxation on POS and similar relevant equipment to drive cost down of such PoS – CBDT Circular out

But Operators Continue
to Face Certain Issues:



Managing the Areas
and Extent of
Regulation...

Enabling and Ensuring
Ease of Doing
Business...

Enabling an Expansion
of the Market to Reach
the Underserved...

Managing the Areas and Extent of Regulation...

- Regulation of ‘Systemically Important Payments Systems’ only
- Ability to settle directly with the RBI using central bank systems
- Permitting a market driven MDR; with only inter-change regulated
- Developing a forward thinking approach to digital currency using blockchain or other appropriate technology

Enabling and Ensuring Ease of Doing Business...

- Bringing digital payments instruments at par with cash by ensuring regulatory parity
- Enabling eKYC with Aadhaar registered mobile number and permitting OTP authentication in addition to biometric based authentication (CKYC seen as backward and confusing)
- Extending BBPS scope to government services with a single backend, with BBPCU and integration to be driven by BBPOUs, to make it more scalable for licensees and inclusive for customers
- Extension of special direct tax benefits to all players engaged in PoS acquisition / deployment, to enlarge the merchant base accepting digital payments

Enabling and Ensuring Ease of Doing Business... (contd.)

- Requiring 2FA review only for transactions above ₹ 2,000 beyond NFC
- Permitting recurring and fixed frequency payments without re-authentication for a set period (say, for 12months)
- Removing requirement for monitoring ₹ 1,00,000 end of the day balance limit (not practical, especially in context of current account holders)
- Incentivizing players to offer BSBDA Accounts (e.g. many transactions are required to be freely offered with no limits: a cap would aid viability)

Enabling an Expansion of the Market to Reach the Underserved...



- Enabling digital payment option to under-banked and unbanked for foreign merchants and services through authorized non-bank payments players
- Allowing direct foreign remittances onto full-KYC prepaid wallets
- Encouraging delivery of credit by using alternative data beyond NBFCs (with requirements around reporting to common credit bureau to ensure defaults / delinquencies are reported)
- Permitting additional Time Deposit and Credit products suitable to under-banked and unbanked to be allowed to 'Payments Banks'.

3. A View to the Future...

The Payment Landscape is Crowded...

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PRE-PAID INSTRUMENTS (PPIs)	WALLETS    	CARDS  	CORPORATE  
MERCHANT AGGREGATORS	ONLINE PAYMENTS GATEWAY   	PHYSICAL / MOBILE POS   	SOFT POS  
PAYMENTS BANK	  	  	
INTERNATIONAL REMITTANCES	 	 	
BBPOU	  		

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...And Ripe for Consolidation / Re-Imagination

Payments Re-Imagined

A Look at Core Components

WEALTH

Fundamental Measure of Economic Output

INDIVIDUALS

FINANCIAL INSTITUTIONS



IDENTITY



CONSENT



LEGER



SERVICES

Thank You

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